HPE Q3 FY26 Earnings

September 2, 2026

Forward-looking statements

This presentation contains forward-looking statements within the meaning of the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. Such statements involve risks, uncertainties, and assumptions. If the risks or uncertainties ever materialize or the assumptions prove incorrect, the results of Hewlett Packard Enterprise Company and its consolidated subsidiaries ("HPE") may differ materially from those expressed or implied by such forward-looking statements and assumptions. The words "believe", "expect", "anticipate", "guide", "optimistic", "intend", "aim", "will", "estimates", "may", "likely", "could", "should" and similar expressions are intended to identify such forward-looking statements. All statements other than statements of historical fact are statements that could be deemed forward-looking statements, including but not limited to any statements regarding the ongoing integration of Juniper Networks, Inc., and any projections, estimates, or expectations of savings or synergy realizations in connection therewith, any projections, estimations, or expectations of addressable markets and their sizes, revenue (including annualized revenue run-rate), margins, expenses (including stock-based compensation expenses), investments, effective tax rates, interest rates; the impact of changes in trade policies and restrictions and any uncertainty created thereby; commodity costs, any statements of the plans, strategies, and objectives of management for future operations, as well as the execution and consummation of corporate transactions or contemplated acquisitions or dispositions and the receipt of proceeds therefrom, and any resulting benefits, cost savings, charges, or revenue or profitability improvements; any statements concerning the expected development, performance, market share, or competitive performance relating to products or services; any statements concerning technological and market trends, the pace of technological innovation, and adoption of new technologies, including artificial intelligence-related and other products and services offered by HPE; any statements regarding macroeconomic trends or events and the anticipated impacts of those trends and events on HPE and our operations, including but not limited to supply chain dynamics (including but not limited to worldwide component shortages), demand for our products and services, and our actions to mitigate such impacts to our business; the scope and duration of geopolitical tensions, including but not limited to the ongoing conflict in the Middle East; and other statements regarding similar or other speculative or prospective matters relating to or impacting the Company, its operations, its customers, its suppliers, or the macroeconomic environment.

Risks, uncertainties, and assumptions include the need to address the many challenges facing HPE's businesses; the competitive pressures faced by HPE's businesses; risks associated with executing HPE's strategy; the impact of macroeconomic and geopolitical trends and events, including but not limited to those mentioned above; the protection of HPE's intellectual property assets, including intellectual property licensed from third parties and intellectual property shared with its former parent; risks associated with HPE's international operations (including from geopolitical events and macroeconomic uncertainties); the development of and transition to new products and services and the enhancement of existing products and services to meet customer needs and respond to emerging technological trends; changes in our product, lease, intellectual property, or real estate portfolio; the successful integration of Juniper Networks, Inc., including our ability to integrate and implement our plans and forecasts and realize our anticipated financial and operational benefits with respect to the consolidated business; the impact of changes to privacy, cybersecurity, environmental, global trade, and other governmental regulations; the efficacy of certain financial metrics in business projections and planning; the judgments required in connection with determining certain financial metrics; utility of segment realignments; and other risks that are described in HPE's Annual Report on Form 10-K for the fiscal year ended October 31, 2025, subsequent Quarterly Reports on Form 10-Q, Current Reports on Form 8-K, and in other filings made by HPE from time to time with the Securities and Exchange Commission.

As in prior periods, the financial information set forth in this presentation, including tax-related items, reflects estimates based on information available at this time. While HPE believes these estimates to be reasonable, these amounts could differ materially from amounts to be reported in the HPE's Annual Report on Form 10-K for the fiscal year ended October 31, 2025. HPE assumes no obligation and does not intend to update these forward-looking statements, except as required by applicable law.

Use of non-GAAP financial information

HPE's management believes that providing non-GAAP financial measures, in addition to the related GAAP measures, provides investors with greater transparency to the information used by HPE's management in its financial and operational decision-making and allows investors to see HPE's results "through the eyes" of management. We believe that providing this information provides investors with a supplemental view to understand our operating performance and to evaluate the efficacy of the methodology and information used by management to evaluate and measure such performance over time. Disclosure of these non-GAAP financial measures also facilitates the comparison of HPE's operating performance with performance of other companies in HPE's industry that supplement their GAAP results with non-GAAP financial measures that may be calculated in a similar manner. Please refer to the non-GAAP to GAAP reconciliation at the end of this presentation for specific non-GAAP financial measures and reconciliation of those financial measures to GAAP financial measures.

These non-GAAP financial measures may have limitations as analytical tools, and these measures should not be considered in isolation or as a substitute for analysis of HPE's results as reported under GAAP. Some of the limitations in relying on these non-GAAP financial measures are that they may be calculated differently by other companies, limiting the usefulness of those measures for comparative purposes, can differ materially from the comparable GAAP measures due to exclusion of items mentioned above and may not reflect the full economic effect of the loss in value of certain assets. We compensate for the limitations on our use of these non-GAAP financial measures by relying primarily on our GAAP financial statements and using non-GAAP financial measures only as a supplemental. We also provide robust and detailed reconciliations of each non-GAAP financial measure to the most directly comparable GAAP measure, and we encourage investors to review those reconciliations carefully. HPE provides certain forward-looking guidance on a non-GAAP basis only. HPE is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as the Company cannot predict some elements that are included in such directly comparable GAAP financial measure. These elements could have a material impact on the Company's reported GAAP results for the guidance period. Refer to the discussion of non-GAAP financial measures in Appendix 1 for more information.

Q3 FY26 AT-A-GLANCE

Record quarterly financial results driven by record demand

RECORD
$12.2B
Net revenue
+34% Y/Y

RECORD
$1.11
Non-GAAP diluted net EPS[1]
+152% Y/Y

RECORD[2]
$958M
Free cash flow[1,3]
+$168M Y/Y

RECORD[4]
42%
Orders growth Y/Y
Normalized[5]

Record quarterly financial results

Record revenue and non-GAAP operating profit driving new record in non-GAAP earnings per share

Record demand

Record orders, driven by significant increase in demand for inferencing and agentic AI workloads

Raising fiscal 2026 & 2027 outlook

Strong demand, backlog, and pipeline provide confidence to again raise guidance

Record profitability accelerates de-leveraging

Achieved < 2.0x net-leverage target more than one year ahead of original plan

WHY HPE

Built to lead at the intersection of networking, cloud, and AI

NETWORKING

Secure, AI-native networking infrastructure powering the edge, cloud, and AI—across all customer segments.

CLOUD

Enabling enterprises to run inferencing, and new agentic AI applications and business workflows, with AI-driven cloud infrastructure and operations.

AI

Powering the AI infrastructure buildout through networking, compute, and storage—at scale—for model builders and neo-cloud customers.

Record revenue, non-GAAP gross margin, non-GAAP operating profit, and non-GAAP diluted net earnings per share

FINANCIAL METRIC		Y/Y	HIGHLIGHTS
Net revenue	$12.2B	**+34%**	**RECORD**, above guidance
Non-GAAP gross margin[1]	40.4%	**+10.5 pts**	**RECORD,** through pricing discipline & favorable mix
Non-GAAP operating profit[1]	$2.0B	**+155%**	**RECORD,** up nearly 40% sequentially
GAAP diluted net EPS	$1.06	**+$0.85**	
Non-GAAP diluted net EPS[1]	$1.11	**+152%**	**RECORD,** above guidance
Free cash flow[1,2]	$1.0B	**+$0.2B**	**RECORD Q3,** driven by record non-GAAP operating profit

Raising fiscal 2026 non-GAAP diluted net EPS guidance by $0.40 to $3.75 - $3.85[3]

Reference endnotes slides in Appendix 2 for footnotes on this slide.

Record $2B operating profit[1] driven by record revenue

SEGMENT	Revenue	Y/Y	Operating profit	Operating margin	HIGHLIGHTS
Networking	$2.9B	+75%	$0.6B	22.0%	**RECORD** orders up 36%, revenue up 10% on a normalized[2] basis with strong operating profit
Cloud & AI	$9.0B	+25%	$1.5B	17.0%	**RECORD** revenue, operating profit and margin
Corporate Investment & Other	$0.3B	+3%	$(0.1)B	(24.1)%	
HPE TOTAL[3]	**$12.2B**	**+34%**	**$2.0B[1]**	**16.2%[1]**	**RECORD** revenue and **RECORD** operating margin, with orders well ahead of shipments

Networking: Record orders significantly outpacing revenues

$2.9B
Revenue
+75% Y/Y[1] (+10% normalized[3])

$0.6B
Operating profit[2]
22% margin

PRODUCT CATEGORIES	Revenue	Y/Y[3]
Campus & Branch	$1.4B	**+8%**
Routing	$0.8B	**+23%**
Data Center	$0.4B	**(6)%**
Security	$0.3B	**+12%**

CUSTOMER SEGMENTS	Revenue	Y/Y[3]
Enterprise	$2.0B	**+12%**
Service Provider[4]	$0.9B	**+5%**

NETWORKING DEMAND ACCELERATING

- **Record demand, with orders up 36% year-over-year on a normalized[3] basis**
  - Data Center Switching & Routing orders up high double-digits year-over-year[3]
  - Campus & Branch orders up low teens year-over-year[3], with broad enterprise demand
- **Increasing cumulative Networks for AI orders[5] guidance range to $2.5B - $3.0B by end of fiscal 2026**
  - $0.7B in new orders booked in Q3
  - Cumulative orders reached $2.2B[5]

Signed a Gigawatt-scale deal with Oracle for one of the industry's largest AI cloud infrastructure buildouts

Cloud & AI: Record revenue, operating profit and margin

$9.0B
Revenue
+25% Y/Y

$1.5B
Operating profit[1]
17% margin

PRODUCT CATEGORIES	Revenue	Y/Y
Server	$6.8B	**+35%**
Storage[2]	$1.3B	**+10%**
Financial Services	$0.9B	**flat**
Other[3]	-	**NM**

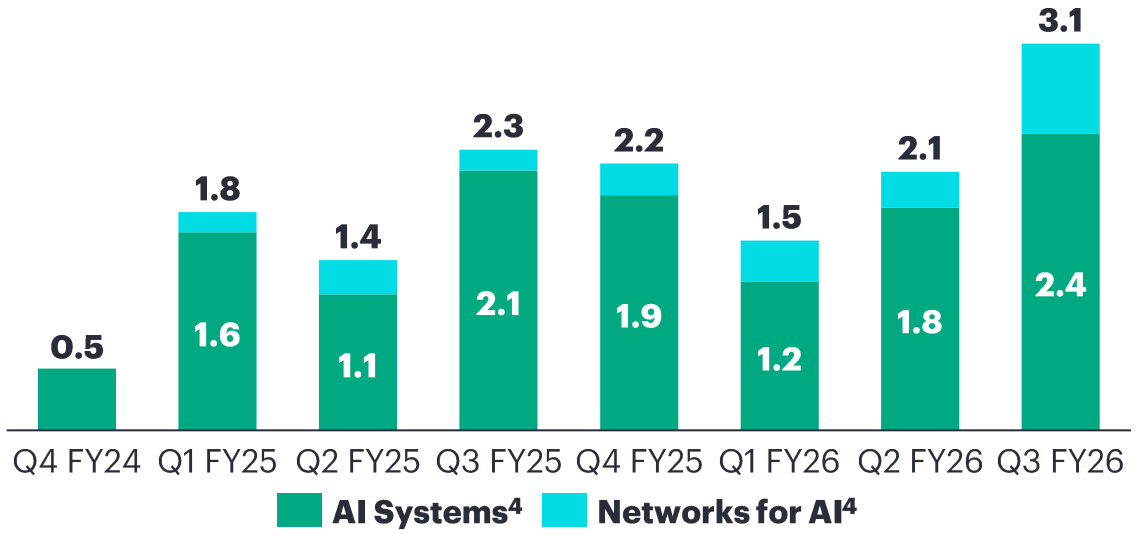
CLOUD & AI DEMAND ACCELERATING

- Record quarter, driven by significant increase in demand for inferencing and agentic AI workloads
- $2.4B in new AI Systems orders, with backlog increasing to $6.8B
- Traditional server orders up 75% year-over-year, driven by AI-ready configs and higher ASPs
- HPE Alletra MP Storage orders up strong double digits year-over-year, with Private Cloud AI orders up triple digits year-over-year
- Continued strong GreenLake cloud growth, customer count up 18% year-over-year with strong net retention rates

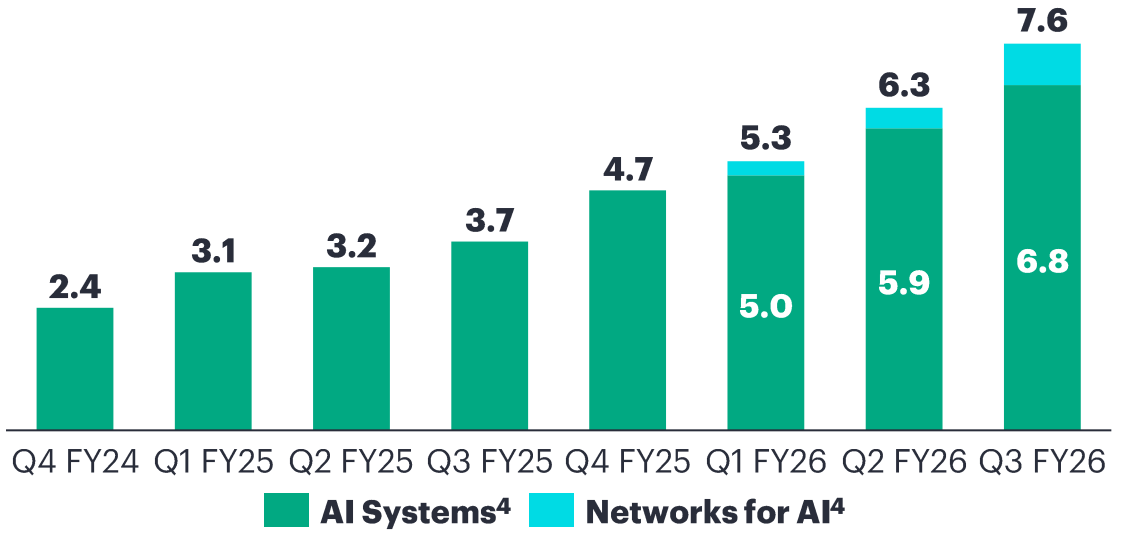
Post Q3, HPE was awarded a $3.5B inferencing deal with hyperscaler customer

Record AI backlog driven by continued strong demand

AI Orders ($B)[1,2]



AI Backlog ($B)[1,3]



RECORD

$3.1B

AI orders booked[1,4]

in Q3 FY26

RECORD

$6.7B

AI YTD orders[1,4]

Exiting Q3 FY26

RECORD

$7.6B

AI backlog[1,4]

Exiting Q3 FY26

59%

Sovereign + enterprise

cumulative AI order mix[5]

COST SYNERGIES

Juniper Networks integration and Catalyst transformation synergies ahead of committed plans

Juniper Networks Integration: on track to achieve $600M annualized run-rate cost synergies by the end of fiscal 2028

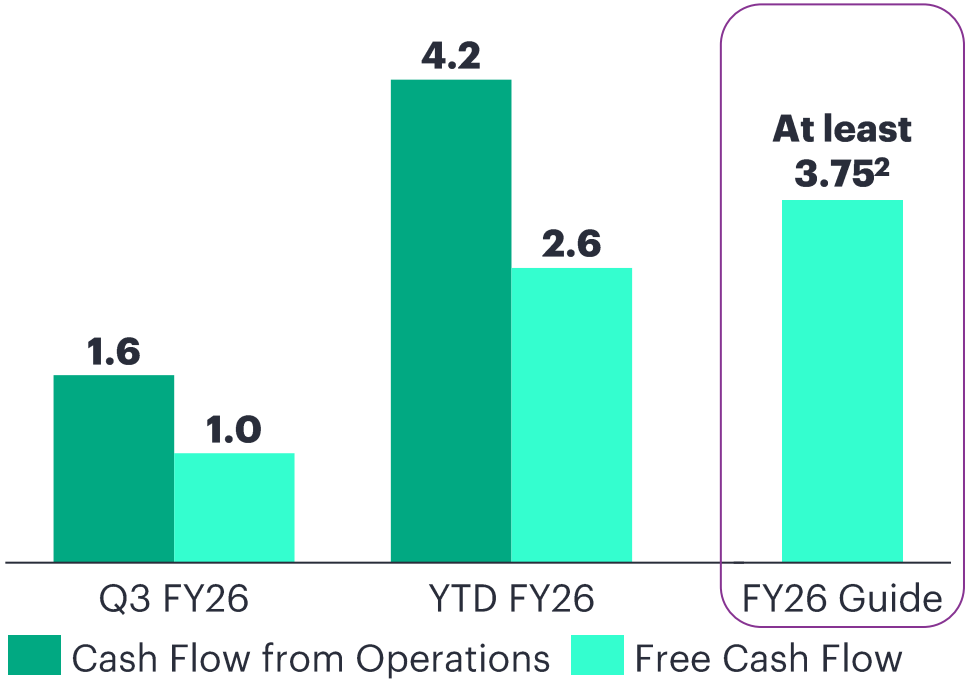
- Ahead of plan and commitments
- On November 1, 2026, Juniper's partners will join HPE's Partner Ready Vantage program, accelerating partner cross-selling opportunities

Catalyst Transformation: a leaner, more efficient AI-enabled HPE driving operating margin expansion

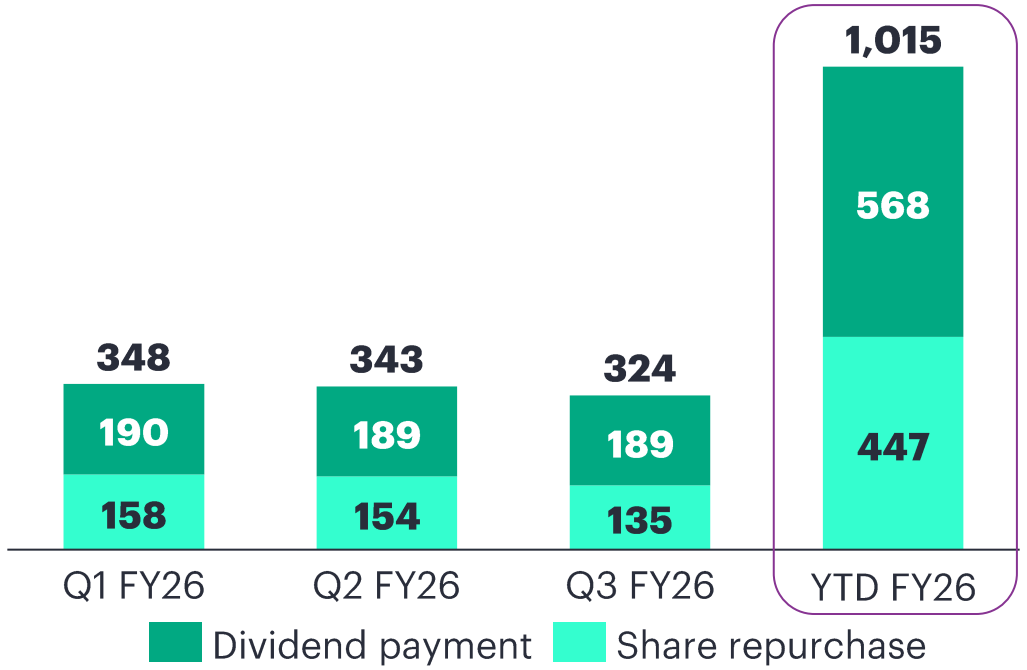
- Ahead of plan and commitments
- Accelerating Agentic AI deployment on HPE's flagship Private Cloud AI platform
  - Lower token costs and improved utilization
  - Faster AI adoption across HPE, without sacrificing flexibility or performance

Record free cash flow[1,2] expected for fiscal 2026

Cash flow ($B)



Common shareholder returns ($M)



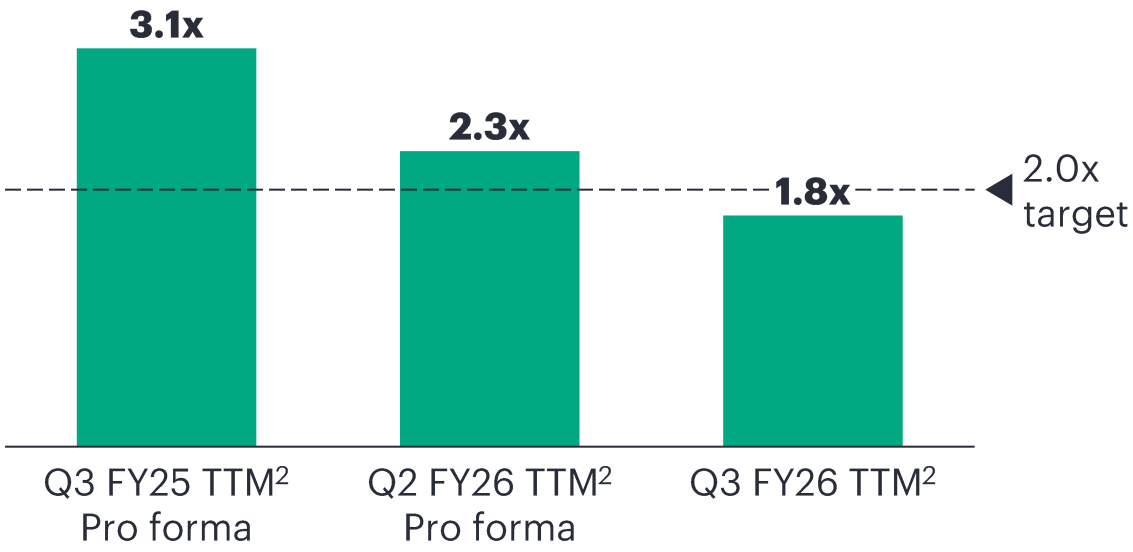
Returned over $1 billion to common shareholders YTD in fiscal 2026

Reference endnotes slides in Appendix 2 for footnotes on this slide.

CAPITAL ALLOCATION

Record profitability accelerates de-leveraging

Net debt / adjusted EBITDA[1]



- Cash and cash equivalents of $6.2B
- Operating company[3] net debt down to $3.2B[4]
- Total net debt of $14.0B[1,5]

Achieved < 2.0x target exiting Q3 fiscal 2026, more than one year ahead of original plan

INDUSTRY-LEADING PORTFOLIO

One portfolio across networking, cloud, and AI

Networking

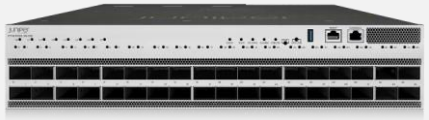
Campus & Branch

e.g., HPE Aruba CX Switches

Data Center

e.g., HPE QFX Switches

Routing Infrastructure Solutions



e.g., HPE PTX Routers

SASE & Security

e.g., HPE SRX Next-Gen Firewalls

Cloud & AI

Rack-scale AI systems

e.g., Nvidia NVL systems by HPE

Supercomputers

e.g., HPE ProLiant

AI Servers

e.g., HPE ProLiant

Traditional Servers

e.g., HPE ProLiant

Storage

e.g., HPE Alletra MP

FEATURED AI PRODUCT

HPE Private Cloud AI provides turnkey, enterprise-grade AI inferencing, at up to 60% lower token cost[1]

Second-generation Enterprise-AI inferencing platform, co-engineered with NVIDIA

TURNKEY AI HARDWARE & SOFTWARE SOLUTION

UP TO 60% LOWER TOKEN COST
VS. PUBLIC CLOUD

FULL DATA SOVEREIGNTY

DELIVERED AS A CLOUD EXPERIENCE
VIA HPE GREENLAKE

FY26 OUTLOOK

Raising fiscal 2026 revenue, EPS, and FCF outlook

METRIC	Q4 FY26	FY26
Revenue	**$13.9B – $14.8B**	**+34% – 37% growth (21%-23% normalized[7])**
GAAP diluted net EPS	**$1.12-$1.22**	**$2.93 - $3.03**
Non-GAAP diluted net EPS[1]	**$1.20 – $1.30[2]**	**$3.75 – $3.85[3]**
Non-GAAP operating profit growth[1]	**80% - 93%[8]**	**+100% – 105%[4]**
Free cash flow[1,5,6]	—	**≥ $3.75B**

Networking segment

Q4 FY26

- Revenue +11% – 13%
- Operating Margin low-20%

FY26

- Revenue +73% – 74% (approaching 10% normalized[7])
- Operating Margin low-20%

Cloud & AI segment

Q4 FY26

- Revenue +60% – 72%
- Operating Margin mid-teens

FY26

- Revenue mid-to-high 20% range
- Operating Margin low-to-mid teens

FY26 assumptions

- Non-GAAP interest and other, net[1,6]: $410M – $425M
- Weighted average share count[1,6]: ~1,440 million

FY27 FRAMEWORK

Raising company growth framework on a higher fiscal 2026 outlook

[redacted]		
13% – 17%	–	

Reference endnotes slides in Appendix 2 for footnotes on this slide.

APPENDIX 1

Customer Segmentation – Networking As Reported

	Q1'24	Q2'24	Q3'24	Q4'24	Q1'25		Q2'25		Q3'25		Q4'25		Q1'26		Q2'26		Q3'26	
in millions	**Amount**	**Amount**	**Amount**	**Amount**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**
Networking (Customer):																		
Enterprise	$1,097	$977	$1,006	$993	$1,027	(6%)	$1,049	7%	$1,375	37%	$1,853	87%	$1,758	71%	$1,819	73%	$2,027	47%
Service Provider	33	37	46	57	49	48%	35	(5%)	279	507%	869	1,425%	948	1,835%	871	2,389%	866	210%
	$1,130	**$1,014**	**$1,052**	**$1,050**			**$1,084**		**$1,654**		**$2,722**		**$2,706**				**$2,893**	

1. Includes telco and cloud providers.

APPENDIX 1

Revenue Disaggregation & Customer Segmentation – Networking Normalized[1]

	Q1'24	Q2'24	Q3'24	Q4'24	Q1'25		Q2'25		Q3'25		Q4'25		Q1'26		Q2'26		Q3'26	
in millions	**Amount**	**Amount**	**Amount**	**Amount**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**	**Amount**	**Y/Y %**
Networking (Product):																		
	$1,279	$1,077	$1,153	$1,166	$1,204	(6%)	$1,203	12%	$1,339		$1,284		$1,227		$1,322		$1,442	8%
	245	253	280	356	338	38%	301	19%	408	46%	354	(1%)	444	31%			382	(6)%
	248	225	232	254	269	8%	231	3%	251	8%	273	7%			273	18%	281	12%
	719	579	589	611	711	(1%)	709		640	9%	811				775	9%		23%
	$2,491	**$2,134**	**$2,254**	**$2,387**	**$2,522**		**$2,444**		**$2,638**				**$2,706**					
Networking (Customer):																		
Enterprise	$1,778	$1,522	$1,616	$1,627	$1,729		$1,676		$1,811	12%	$1,853	14%	$1,758		$1,819	9%	$2,027	12%
Service Provider[2]	713	612	638	760	793	11%	768	25%	827	30%	869	14%	948	20%	871	13%	866	
	$2,491	**$2,134**	**$2,254**	**$2,387**	**$2,522**		**$2,444**		**$2,638**				**$2,706**					

1. This normalized combined Networking financial information represents the summation of the standalone financial information of the Networking segment reported by the Company and to include the adjusted financial information for Juniper Networks. This financial information has not been prepared in accordance with Article 11 of Regulation S X and does not give effect to the pro forma adjustments that might be required in connection with the preparation of pro forma financial information in accordance with Article 11 of Regulation S X, and is not indicative of what the combined segment's performance would have been had HPE and Juniper Networks been a combined company for the periods presented. This financial information has been presented solely to facilitate comparisons of the newly combined Networking business since HPE and Juniper Networks observe different fiscal years, with HPE's fiscal year ending on October 31, and Juniper Networks' fiscal year having ended on December 31. This combined Networking financial information was prepared to reconcile the differences in the quarterly reporting periods. The internally prepared monthly financial data and the resulting figures above are based on what we believe to be reasonable estimates, calculations, and processes. However, Juniper Networks' internally prepared monthly financial data has not been reviewed or audited by either Juniper Networks, Juniper Networks' auditors, or HPE's auditors. Furthermore, the above amounts will differ from as reported amounts in HPE's or Juniper's SEC filings. As such, readers should not rely on this information as indicative of past performance of the Networking business nor treat this as indicative of historical or future performance of the Networking business. The table below summarizes the reconciling amounts necessary to arrive at the reported Networking revenue (in millions):

2. Includes telco and cloud providers.

	Q2'24			Q1'25		Q2'25		
$1,361	$1,120	$1,202	$1,337	$1,446	$1,360	$984		

Reconciliation of Segment Operating Profit to GAAP & Non-GAAP Operating Profit

In millions	Q1'25	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
Networking	$320	$271	$365	$638	$640	$581	$637
Cloud & AI	547	414	504	620	645	954	1,539
Corporate Investments and Other	(8)	(7)	(19)	5	(12)	(9)	(67)
Total Segment Operating Profit[1]	**859**	**678**	**850**	**1,263**	**1,273**	**1,526**	**2,109**
Unallocated corporate costs and eliminations	(79)	(65)	(73)	(80)	(91)	(103)	(130)
Non-GAAP Operating Profit	**780**	**613**	**777**	**1,183**	**1,182**	**1,423**	**1,979**
Amortization of intangible assets	(38)	(37)	(126)	(310)	(311)	(323)	(315)
Impairment charges		(1,361)	—	(260)	—	—	—
Stock-based compensation expense	(154)	(116)	(177)	(196)	(216)	(218)	(165)
H3C divestiture related severance costs	(77)	(20)	—	—	—	—	—
Cost reduction program	—	(146)	(2)	(127)	(23)	(30)	(31)
Acquisition, disposition and other charges[2]	(78)	(42)	(225)	(298)	(162)	(105)	(75)
GAAP Operating Profit (Loss)	**$433**	**($1,109)**	**$247**	**($8)**	**$470**	**$747**	**$1,393**

1. Effective at the beginning of the first quarter of fiscal 2026, HPE implemented an organizational change by (i) merging the Server, Hybrid Cloud, and Financial Services business segments into a new segment named Cloud & AI and (ii) transferring the Telco and Instant On businesses to Corporate Investments and Other from Networking. The Company reflected these changes to its segment information retrospectively.
2. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

Reconciliation of Operating Cash Flow to Free Cash Flow[1]

	Q2'25		Q4'25	Q1'26		Q3'26
Net cash (used in) provided by operating activities	($461)	$1,305	$2,465	$1,178	$1,410	$1,641
Investment in property, plant and equipment and software assets	(547)	(576)	(641)	(569)	(583)	(745)
Proceeds from sale of property, plant and equipment	80	90	126	66	130	92
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	81	(29)	(30)	33	(42)	(30)
Free cash flow[1]	**($847)**	**$790**	**$1,920**	**$708**	**$915**	**$958**

1. Free cash flow represents cash flow from operations, less net capital expenditures (investments in property, plant & equipment ("PP&E") and software assets less proceeds from the sale of PP&E), and adjusted for the effect of exchange rate fluctuations on cash, cash equivalents, and restricted cash.

APPENDIX 1

Reconciliation of TTM[1] Operating Profit to Non-GAAP Operating Profit and Adjusted EBITDA

	HPE Q3'25 TTM	Juniper Networks Q3'25 TTM	Pro Forma Q3'25 TTM	HPE Q2'26 TTM	Juniper Networks Q2'26 TTM	Pro Forma Q2'26 TTM	Q3'26 TTM
GAAP Operating Profit	**$264**	**$399**	**$663**	**$1,456**	**($2)**	**$1,454**	**$2,602**
Acquisition, disposition and other charges[2]	432	108	540	790	43	833	640
Stock-based compensation expense	536	244	780	807	34	841	795
Amortization of intangible assets	270	39	309	1,070	7	1,077	1,259
Cost reduction program	148		148	182		182	211
Impairment charges	1,361	—	1,361	260	—	260	260
H3C divestiture related severance costs	97		97		—		—
Other		6	6	—	6	6	—
Non-GAAP Operating Profit	**3,108**	**796**	**3,904**	**4,565**	**88**	**4,653**	**5,767**
Depreciation and amortization	2,500	100	2,600	3,313	18	3,331	3,490
Amortization of intangible assets	(270)	(39)	(309)	(1,070)	(7)	(1,077)	(1,259)
Adjusted EBITDA	**$5,338**	**$857**	**$6,195**	**$6,808**	**$99**	**$6,907**	**$7,998**

Calculation of Total Debt and Net Debt	**July 31, 2025**	**April 30, 2026**	**July 31, 2026**
Notes payable and short-term borrowings	$6,799	$3,009	$2,901
Long-term debt	16,854	18,237	17,343
Total GAAP debt	23,653	21,246	20,244
Less: cash	(4,571)	(5,292)	(6,216)
Total net debt	$19,082	$15,954	$14,028
Adjusted EBITDA	**6,195**	**6,907**	**7,998**
Leverage ratio - Total net debt[3]	**3.1**	**2.3**	**1.8**

1. Trailing twelve months ("TTM") refers to the period encompassing the respective periods presented, and the eleven months preceding July 2025, April 2026, and July 2026, respectively.
2. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.
3. Calculated as Total net debt divided by Adjusted EBITDA.

APPENDIX 1

Consolidated GAAP Results

$ in millions, except percentages and per share amounts	Q2'25		Q4'25	Q1'26		Q3'26	Y/Y	Q/Q
Revenue	**$7,627**	**$9,136**	**$9,679**	**$9,301**	**$10,678**	**$12,213**	*33.7%*	*14.4%*
Cost of sales	5,458	6,464	6,438	5,961	6,778	7,314	*13.1%*	*7.9%*
Gross profit	**2,169**	**2,672**	**3,241**	**3,340**	**3,900**	**4,899**	*83.3%*	*25.6%*
Gross profit as a % of revenue	*28.4%*	*29.2%*	*33.5%*	*35.9%*	*36.5%*	*40.1%*		
Research and development	540	622	881	744	922	1,158	*86.2%*	*25.6%*
Selling, general and administrative	1,298	1,496	1,642	1,698	1,830	1,962	*31.1%*	*7.2%*
Impairment charges	1,361	—	260	—	—	—	*—%*	*—%*
Amortization of intangibles	37	126	310	311	323	315	*150.0%*	*(2.5)%*
Acquisition, disposition and other charges	42	181	156	117	78	71	*(60.8)%*	*(9.0)%*
Total operating expenses	**3,278**	**2,425**	**3,249**	**2,870**	**3,153**	**3,506**	*44.6%*	*11.2%*
Operating expenses as a % of revenue	*43.0%*	*26.5%*	*33.6%*	*30.9%*	*29.5%*	*28.7%*		
Operating (loss) profit	**(1,109)**	**247**	**(8)**	**470**	**747**	**1,393**	*464.0%*	*86.5%*
Operating (loss) profit as a % of revenue	*(14.5)%*	*2.7%*	*(0.1)%*	*5.1%*	*7.0%*	*11.4%*		
Interest and other, net	39	8	(261)	(54)	(73)	(75)	*N/M*[1]	*2.7%*
Gain on sale of a business			3				*N/M*[1]	*N/M*[1]
Gain on sale of equity interest						444	*N/M*[1]	*N/M*[1]
Earnings from equity interests	25	32	5	17	25		*(100.0)%*	*(100.0)%*
Pre-tax (loss) earnings	**(1,045)**	**288**	**(261)**	**433**	**699**	**1,762**	*511.8%*	*152.1%*
Income tax	(5)	17	436	19	(75)	(222)	*N/M*[1]	*196.0%*
Tax rate %	*(0.5)%*	*(6.5)%*	*167.0%*	*(4.4)%*	*10.7%*	*12.6%*		
Net (loss) earnings attributable to HPE	**(1,050)**	**305**	**175**	**452**	**624**	**1,540**	*404.9%*	*146.8%*
Preferred stock dividends	(29)	(29)	(29)	(29)	(29)	(29)	*—%*	*—%*
Net (loss) earnings attributable to common stockholders	**($1,079)**	**$276**	**$146**	**$423**	**$595**	**$1,511**	*447.5%*	*153.9%*
Diluted net EPS	($0.82)	$0.21	$0.11	$0.31	$0.44	$1.06	*404.8%*	*140.9%*

1. N/M - Not meaningful

APPENDIX 1

Consolidated Non-GAAP Results

$ in millions, except percentages and per share amounts	Q2'25		Q4'25	Q1'26		Q3'26	Y/Y	Q/Q
Revenue	**$7,627**	**$9,136**	**$9,679**	**$9,301**	**$10,678**	**$12,213**	*33.7%*	*14.4%*
Cost of sales	5,383	6,404	6,160	5,898	6,741	7,285	*13.8%*	*8.1%*
Gross profit	**2,244**	**2,732**	**3,519**	**3,403**	**3,937**	**4,928**	*80.4%*	*25.2%*
Gross profit as a % of revenue	*29.4%*	*29.9%*	*36.4%*	*36.6%*	*36.9%*	*40.4%*		
Research and development	472	587	808	659	827	1,087	*85.2%*	*31.4%*
Selling, general and administrative	1,159	1,368	1,528	1,562	1,687	1,862	*36.1%*	*10.4%*
Total operating expenses	**1,631**	**1,955**	**2,336**	**2,221**	**2,514**	**2,949**	*50.8%*	*17.3%*
Operating expenses as a % of revenue	*21.4%*	*21.4%*	*24.1%*	*23.9%*	*23.5%*	*24.1%*		
Operating profit	**613**	**777**	**1,183**	**1,182**	**1,423**	**1,979**	*154.7%*	*39.1%*
Operating profit as a % of revenue	*8.0%*	*8.5%*	*12.2%*	*12.7%*	*13.3%*	*16.2%*		
Interest and other, net	9	(67)	(148)	(101)	(102)	(107)	*59.7%*	*4.9%*
Earnings from equity interests	19	32	16				*(100)%*	*—%*
Pre-tax earnings	**641**	**742**	**1,051**	**1,081**	**1,321**	**1,872**	*152.3%*	*41.7%*
Income tax	(96)	(111)	(158)	(151)	(185)	(262)	*136.0%*	*41.6%*
Tax rate %	*15.0%*	*15.0%*	*15.0%*	*14.0%*	*14.0%*	*14.0%*		
Net earnings attributable to HPE	**545**	**631**	**893**	**930**	**1,136**	**1,610**	*155.2%*	*41.7%*
Preferred stock dividends	(29)	(29)	(29)	(29)	(29)	(29)	*—%*	*—%*
Net earnings attributable to common stockholders	**$516**	**$602**	**$864**	**$901**	**$1,107**	**$1,581**	*162.6%*	*42.8%*
Diluted net EPS	$0.38	$0.44	$0.62	$0.65	$0.79	$1.11	*152.3%*	*40.5%*

Supplemental Reconciliations: GAAP to Non-GAAP Gross Profit and Operating Profit

$ in millions	Q1'25	Q2'25		Q4'25	Q1'26		Q3'26
GAAP gross profit	**$2,295**	**$2,169**	**$2,672**	**$3,241**	**$3,340**	**$3,900**	**$4,899**
Non-GAAP adjustments:							
Stock-based compensation expense	17	13	10	9	24	23	18
Acquisition, disposition and other charges	(3)		50	189	34	6	(3)
Cost reduction program		46		80	5	8	14
H3C divestiture related severance costs		16					
Total adjustments to gross profit	15	75	60	278	63	37	29
Non-GAAP gross profit	**$2,310**	**$2,244**	**$2,732**	**$3,519**	**$3,403**	**$3,937**	**$4,928**
GAAP earnings (loss) from operations	**$433**	**($1,109)**	**$247**	**($8)**	**$470**	**$747**	**$1,393**
Non-GAAP adjustments:							
Amortization of Intangibles	38	37	126	310	311	323	315
Stock-based compensation expense	154	116	177	196	216	218	165
Acquisition, disposition and other charges	78	42	225	298	162		75
Cost reduction program		146	2	127	23	30	31
H3C divestiture related severance costs	77	20					
Impairment charges		1,361		260			
Total adjustments to earnings from operations	347	1,722	530	1,191	712	676	586
Non-GAAP earnings from operations	**$780**	**$613**	**$777**	**$1,183**	**$1,182**	**$1,423**	**$1,979**

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

APPENDIX 1

Supplemental Reconciliations: GAAP to Non-GAAP Net Income

	Q1'25		Q2'25		Q3'25		Q4'25		Q1'26		Q2'26		Q3'26	
$ in millions, except per share amounts	**Amount**	***per share***	**Amount**	***per share***	**Amount**	***per share***	**Amount**	***per share***	**Amount**	**per share**	**Amount**	**per share**	**Amount**	**per share**
GAAP net earnings (loss) attributable to common stockholders	**$598**		**($1,079)**	***($0.82)***	**$276**		**$146**	***$0.11***	**$423**	***$0.31***	**$595**		**$1,511**	
Preferred stock dividends	29		29		29		29		29		29		29	
GAAP net earnings (loss) attributable to HPE	**627**	***$0.44***	**(1,050)**		**305**	***$0.21***	**175**		**452**		**624**	***$0.44***	**1,540**	***$1.06***
Non-GAAP adjustments:														
Amortization of intangible assets	38	*0.03*	37	*0.03*	126	*0.09*	310	*0.23*	311	*0.23*	323	*0.23*	315	*0.22*
Stock-based compensation expense	154	*0.11*	116	*0.09*	177	*0.12*	196	*0.14*	216	*0.16*	218	*0.15*	165	*0.11*
Acquisition, disposition and other charges[1]	78	*0.05*	42	*0.03*	225	*0.17*	298	*0.22*	162	*0.12*	105	*0.08*	75	*0.05*
Cost reduction program	—	—	146	*0.11*	2	—	127	*0.09*	23	*0.02*	30	*0.02*	31	*0.02*
H3C divestiture related severance costs	77	*0.05*	20	*0.02*	—	—	—	—	—	—	—	—	—	—
Impairment charges	—	—	1,361	*1.03*	—	—	260	*0.19*	—	—	—	—	—	—
Adjustments for equity interests	—	—	—	—	—	—	—	—	(17)	*(0.01)*	(25)	*(0.02)*	—	—
(Gain) loss on equity investments, net	(2)	—	(7)	*(0.01)*	1	—	148	*0.10*	(14)	*(0.01)*	3	—	—	—
Gain on sale of a business	(244)	*(0.17)*	—	—	(1)	—	(3)	—	—	—		—		—
Gain on sale of equity interest		—		—		—		—		—		—	(444)	*(0.31)*
Litigation judgment	—	—		—	(52)	*(0.04)*		—		—		—		—
Other adjustments	(29)	*(0.02)*	(29)	*(0.02)*	(24)	*(0.02)*	(24)	*(0.02)*	(33)	*(0.03)*	(32)	*(0.04)*	(32)	*(0.02)*
Adjustments for taxes	(15)		(91)	*(0.08)*	(128)	*(0.09)*	(594)	*(0.44)*	(170)	*(0.14)*	(110)	*(0.07)*	(40)	*(0.02)*
Total adjustments to GAAP net earnings (loss) attributable to HPE	**57**		**1,595**		**326**		**718**		**478**		**512**		**70**	
Non-GAAP net earnings attributable to HPE	**684**	***$0.49***	**545**	***$0.38***	**631**	***$0.44***	**893**	***$0.62***	**930**	***$0.65***	**1,136**	***$0.79***	**1,610**	***$1.11***
Preferred stock dividends	(29)		(29)		(29)		(29)		(29)		(29)		(29)	
Non-GAAP net earnings attributable to common stockholders	**$655**		**$516**		**$602**		**$864**		**$901**		**$1,107**		**$1,581**	

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

Supplemental Reconciliations: GAAP to Non-GAAP Operating Expenses

$ in millions	Q1'25	Q2'25		Q4'25	Q1'26	Q2'26	Q3'26
GAAP operating expenses	**$1,862**	**$3,278**	**$2,425**	**$3,249**	**$2,870**	**$3,153**	**$3,506**
Amortization of intangible assets	(38)	(37)	(126)	(310)	(311)	(323)	(315)
Stock-based compensation expense	(137)	(103)	(167)	(187)	(192)	(195)	(147)
Acquisition, disposition and other charges	(81)	(42)	(175)	(109)	(128)	(99)	(78)
Cost reduction program		(100)	(2)	(47)	(18)	(22)	(17)
H3C divestiture related severance costs	(76)	(4)					
Impairment charges		(1,361)		(260)			
Total adjustments to operating expenses	**(332)**	**(1,647)**	**(470)**	**(913)**	**(649)**	**(639)**	**(557)**
Non-GAAP operating expenses	**$1,530**	**$1,631**	**$1,955**	**$2,336**	**$2,221**	**$2,514**	**$2,949**

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

Appendix 2

APPENDIX 2

Endnotes

Throughout this presentation, references are made to company-wide and segment-level financial metrics records. Records for company-wide financial metrics are measured from the period when we completed the spin-mergers of our prior software and enterprise service businesses. Records for segment-specific financial metrics are measured from Q1 of FY24, which is the earliest period for which we disclosed financial information according to our current segmentation.

Slide 3: Record quarterly financial results driven by record demand

1. A description of HPE's use of non-GAAP financial information is provided on slide 2 of this presentation. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the “Appendix 1" section.
2. Record for Q3.
3. For the definition of free cash flow, see slide 22.
4. Record orders in dollars.
5. Normalized to include 8 months of pre-acquisition Juniper Networks results.

Slide 5: Record revenue, non-GAAP gross margin, non-GAAP operating profit, and non-GAAP diluted net earnings per share

1. A description of HPE's use of non-GAAP financial information is provided on slide 2 of this presentation. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the “Appendix 1" section.
2. For the definition of free cash flow, see slide 22.
3. FY26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately $0.82 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.

Slide 6: Record $2B operating profit driven by record revenue

1. HPE Operating Profit (“OP”) is a non-GAAP measure, which is reconciled to our GAAP Operating Profit in the “Appendix 1” section. HPE OP margin (OP as a percentage of net revenue) was calculated using non-GAAP OP. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the “Appendix 1” section.
2. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 20 for more information.
3. Includes adjustments for unallocated corporate operating costs (which are managed only at the HPE corporate level) and eliminations. Segment results on this slide do not include or reflect these adjustments.

APPENDIX 2

Endnotes

Slide 7: Networking: Record orders significantly outpacing revenues

1. On as reported basis.
2. Segment operating profit is calculated based on total segment operating profit, which excludes unallocated corporate operating costs and other adjustments that are managed only at the HPE corporate level.
3. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 20 for more information.
4. Includes telco and cloud providers.
5. Cumulative orders include 8 months of pre-acquisition Juniper Networks results.

Slide 8: Cloud & AI: Record revenue, operating profit and margin

1. Segment operating profit is calculated based on total segment operating profit, which excludes unallocated corporate operating costs and other adjustments that are managed only at the HPE corporate level.
2. Storage includes revenue from GreenLake Flex and Software.
3. Other category includes intersegment revenue eliminations and third-party storage solutions. Year-over-year percentage change was not material.

Slide 9: Record AI backlog driven by continued strong demand

1. Orders and backlog figures presented on this slide are as of the ends of the quarterly periods presented and remain subject to ongoing adjustment for a variety of reasons (including but not limited to re-bookings, cancellations, and fulfillment issues).
2. Normalized to include 8 months of Juniper Networks.
3. Networks for AI backlog tracking commenced in Q1'26.
4. AI Systems include products and services. Networks for AI does not include services.
5. Cumulative sovereign and enterprise customer mix of cumulative AI orders since Q1'23.

APPENDIX 2

Endnotes

Slide 11: Record free cash flow expected for fiscal 2026

1. For the definition of free cash flow, and a reconciliation to operating cash flow, see slide 22.
2. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.

Slide 12: Record profitability accelerates de-leveraging

1. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the "Appendix 1" section.
2. Trailing twelve months ("TTM") refers to (i) for Q3'25 TTM, the period encompassing the month ended July 31, 2025 and the eleven months preceding July 2025 for both HPE and Juniper Networks, and (ii) for Q2'26 TTM, the period encompassing the month ended April 30, 2026 and the eleven months preceding April 2026 for HPE and two months of Juniper Networks relating to pre-acquisition period (iii) for Q3'26 TTM, the period encompassing the month ended July 31, 2026 and the eleven months preceding July 2026. See the reconciliations on slide 23.
3. Operating Company = Total HPE excluding Financial Services (FS).
4. Operating Company net debt is defined as total company net debt excluding the net debt of FS of $10.8B.
5. See the calculation of Total net debt on slide 23.

Slide 14: HPE Private Cloud AI provides turnkey, enterprise-grade AI inferencing, at up to 60% lower token cost

1. Based on HPE analysis with the following assumptions: 5-year term deal, 80% PCAI utilization, 70/30 mix between public cloud reserve and on-demand spend, 8B parameter Llama 3.1 model.

APPENDIX 2

Endnotes

Slide 15: Raising fiscal 2026 revenue, EPS, and FCF outlook

1. A description of HPE's use of non-GAAP financial information is provided on slide 2 of this presentation.
2. Q4'26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately $0.08 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges and cost reduction program.
3. FY26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately $0.82 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.
4. FY26 non-GAAP operating profit growth excludes costs of approximately $2.5 billion primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, and cost reduction program.
5. For the definition of free cash flow, see slide 22.
6. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
7. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 20 for more information.
8. Q4'26 non-GAAP operating profit growth excludes costs of approximately $0.5 billion primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, and cost reduction program.

Slide 16: Raising company growth framework on a higher fiscal 2026 outlook

1. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
2. For the definition of free cash flow, see slide 22.
3. Represents HPE Non-GAAP operating margin.

Thank You

© 2026 Hewlett Packard Enterprise Development LP